or simplify more than 40,000 unnecessary compliances and amend dozens of acts to make them less intimidating to the public. But he knew a lot more had to be done. In December 2024, at a national conference of state chief secretaries that he chaired, Modi got chief economic advisor V. Anantha Nageswaran to make a detailed presentation on the debilitating economic costs of regulatory overload.

Modi's conclusion, according to the officials present, was unambiguous: incremental reform would no longer suffice. He was clear that if India aspired to be a developed economy by 2047, it could not get there if its entrepreneurs were still navigating a regulatory architecture designed in the last century. As Dr Pramod K. Mishra, principal secretary to the prime minister, told INDIA TODAY, "The core insight is that India can sustain a high growth trajectory by continuously improving its business environment. Decades of layered licences, permissions, certifications and filings had built a compliance burden that fell the hardest on the small enterprise, and choked formalisation, productivity and job creation. Deregulation is the most efficient, non-inflationary growth stimulus available as it raises output by lowering the cost of doing honest business."

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**– DR P.K. MISHRA**
*Principal Secretary to the PM*

## The Trishul Approach

In January 2025, a month after the meeting with the chief secretaries, Modi launched a three-pronged strategy to rip through the miles of bureaucratic red tape and dismantle the cumbersome regulatory raj, particularly at the state level. The prime minister constituted a Task Force on Compliance Reduction and Deregulation (TFCRD) headed by Union cabinet secretary T.V. Somanathan to spread these reforms across India's 28 states and eight Union Territories, simplifying regulations and streamlining procedures everywhere. The TFCRD identified 23 priority areas across five broad sectors: land use, building and construction, labour, utilities and per-

# THE GREAT UNSHACKLING

**A sectorwise look at reforms aimed at reducing regulatory burden and accelerating economic growth**

### ENVIRONMENT



**Bottlenecks:** Firms needed multiple environmental approvals, repeated Consent to Operate (CTO) renewals, frequent inspections and fresh clearances even for expansions, leading to delays and higher project costs

**Reforms:** Green cover requirement cut from 33-40% to 10-25%; Consent to Establish and CTO based on self-certification and third-party audits for green-category industries; permanent CTO for all; annual inspections for red-category units; no fresh Environmental Clearance (EC) for expansions that do not increase pollution; separate EC waived inside industrial estates with composite clearance

**Benefits:** Could unlock nearly 120,000 hectares of industrial land; reduce project costs by 5-20%; attract Rs 20-30 lakh crore of additional investment; create 2-4 million direct jobs; lower recurring compliance costs

### FOOD SAFETY



**Bottlenecks:** Small food businesses, street vendors and local operators grappled with disproportionate paperwork, licensing requirements and renewals despite limited scale

**Reforms:** Registration threshold raised from Rs 12 lakh turnover to Rs 1.5 crore; automatic registration via Aadhaar/PAN; exemptions for many street vendors; lifetime licences, subject to annual fees and applicable compliance; higher turnover thresholds for state and central licences

**Benefits:** Nearly 5 million small food businesses expected to benefit; compliances reduced from 89 to 20; lower regulatory burden, faster formalisation and lower operating costs

### WEIGHTS AND MEASURES



**Bottlenecks:** Businesses depended on annual government verification; limited inspection capacity created delays and compliance costs

**Reforms:** Third-party verification mechanism introduced; risk-based random inspections; government-approved test centres allowed to verify all categories of weights and measures

**Benefits:** Faster verification and certification; lower compliance costs; easier access to verification services